

WRITTEN ARGUMENTS ON BEHALF OF THE ACCUSED

C.C. NO. 1847/SS/2026

Matter: C.C. NO. 1847/SS/2026
Filed by: Devraj Malkani
Filed on: 20.05.2026

I. BRIEF FACTS

The Accused admits having received a loan and having issued the cheque in question, but states that the cheque was handed over only as collateral security for a proposed business transaction between the parties that did not materialise, and not towards discharge of any subsisting, legally enforceable debt.

II. NO LEGALLY ENFORCEABLE DEBT — CHEQUE ISSUED AS SECURITY

It is submitted that the cheque was signed in blank and handed over as security, a fact that is corroborated by the very discrepancy between the amount in figures (Rs. 36,00,000) and in words (Rupees Thirty Six Lakhs Fifty Thousand) on the face of the cheque, which discrepancy is consistent with the cheque having been filled in by a person other than the Accused after it left his hands.

III. DISCREPANCIES IN THE COMPLAINANT'S DOCUMENTS REBUT THE PRESUMPTION

It is well settled that the accused is not required to disprove the case beyond reasonable doubt but only to raise a probable defence on a preponderance of probabilities: *Basalingappa v. Mudibasappa*, (2019) 5 SCC 418. The Complainant's own ledger of the loan account records interest on an 18% per annum basis, whereas the Loan Agreement records the agreed rate as 15% per annum, an internal inconsistency admitted by the Complainant himself in his cross-examination. This discrepancy, taken with the figures-versus-words discrepancy on the cheque, is sufficient to raise a probable defence and shift the evidentiary burden back to the Complainant.

IV. NO REPLY TO NOTICE DOES NOT AMOUNT TO ADMISSION

The Accused's failure to reply to the statutory notice, by itself, does not amount to an admission of the Complainant's version and cannot substitute for affirmative proof of a legally enforceable debt.

V. CASE LAW RELIED UPON

Rangappa v. Sri Mohan, (2010) 11 SCC 441 (presumption is rebuttable and the accused may rely on materials brought on record, including in the cross-examination of the complainant); *Basalingappa v. Mudibasappa*, (2019) 5 SCC 418 (standard of a probable defence); *Kumar Exports v. Sharma Carpets*, (2009) 2 SCC 513 (standard of rebuttal on a preponderance of probabilities).

VI. PRAYER

It is respectfully prayed that this Hon'ble Court may be pleased to acquit the Accused of the offence under Section 138 of the Negotiable Instruments Act, 1881.